Smart Regulatory Framework: Safeguarding Innovation and Trust

The regulatory approach must **protect society and security without strangling innovation**. We recommend establishing a *lightweight but effective* governance framework. First, create a **National AI Safety Commission** – an expert advisory panel (from industry, academia, and government) – to monitor AI advancements and advise on emerging risks and best practices. This commission would develop **voluntary standards** and ethics guidelines for AI (e.g. transparency, bias mitigation, cybersecurity for AI systems), which companies can adopt. Rather than immediately imposing broad new AI laws, the U.S. will lean on such expert guidance and *self-regulation* by industry in the near term. This flexible approach ensures we address issues (like AI safety, fairness) through collaboration and norms first.

When regulation is needed, it will be **targeted and risk-based**. Congress should pursue narrowly tailored laws focusing on clear harms – for instance, legislation specifically banning malicious deepfakes and AI-generated child exploitation material (areas of broad agreement). By addressing *"harmful uses of AI"* rather than overregulating AI development, we protect the public while preserving innovation freedom. Agencies will also update existing regulations to cover AI (for example, the FDA refining guidelines for AI in medical devices, the FTC overseeing AI in consumer protection) using their current authority, rather than waiting for entirely new AI laws. This ensures AI is held to standards in sensitive applications without needing an overarching "AI Act." We will avoid heavy-handed policies that could drive AI research offshore or underground. As one analysis noted, rushing broad AI legislation could *"threaten U.S. economic innovation and national security leadership"*. Our framework thus champions **"enabling" regulation**: the government provides guardrails and oversight in high-risk scenarios, but otherwise gives innovators room to experiment and iterate.

To support this, we'll task NIST (National Institute of Standards and Technology) to work with industry on **technical standards for AI safety** (for example, standards for testing AI for bias or robustness). We will also strengthen **accountability** via transparency: encourage companies to voluntarily disclose information about advanced AI models (capabilities, training data, safeguards), building public trust. Meanwhile, the government will increase funding for AI safety research (verification, explainability, etc.) to ensure cutting-edge tools exist to keep AI systems in check. By implementing this smart, adaptive regulatory posture, the U.S. can manage the evolution of AI responsibly *without* choking the vitality out of the industry. In essence, we will **secure the benefits of AI while mitigating its downsides**, all in a manner that keeps American innovation free, confident, and globally competitive.

Navigating Geopolitics and International Cooperation

Finally, the plan addresses the global dimension of the AI race. U.S. AI dominance must be secured in concert with allies and through strategic actions on the world stage. **Geopolitical strategy** under this plan has two prongs: **(a) Rallying allies and partners** to form a united front on AI innovation and governance, and **(b) Implementing savvy measures to counter adversaries like China** while avoiding a destabilizing arms race.

We will intensify cooperation with allied democracies (Canada, UK, EU nations, Japan, South Korea, Australia, India and others) on AI R&D and standard-setting. This could include a formal **"Alliance for AI Leadership"** – an initiative to share research findings, coordinate investments in AI research, and pool talent programs among like-minded nations. Joint ventures, such as transatlantic AI research centers or U.S.-India tech incubators, will be expanded with U.S. support. By leveraging allied strengths (for example, the UK's expertise via DeepMind, Canada's leading AI researchers, etc.), we create a collective innovation powerhouse that China cannot easily match. Moreover, aligning with allies helps **set global norms** for AI. The U.S. will lead efforts in international forums (UN, G7, OECD) to promote principles for ethical AI use – emphasizing privacy, human rights, and transparency – in contrast to the authoritarian model of surveillance AI. A recent gathering of U.S. and allied officials in San Francisco to discuss AI safety shows the groundwork for such cooperation. We will build on that by proposing regular **Global AI Safety Summits** and working through the *Global Partnership on AI* (a multi-country body) to shape international rules. This collaborative diplomacy ensures the U.S. and its friends write the playbook for AI, not Beijing.

On the competitive side, the U.S. will maintain and tighten **export controls and investment screening** to prevent China from siphoning off our AI advancements. Since 2022, the U.S. has heavily restricted China's access to high-end semiconductors and AI technology inputs. Those controls – including entity list bans and foreign direct product rules – will continue to be enforced and updated to close loopholes. The new administration has already signaled it will *"identify and eliminate loopholes"* that let strategic tech flow to rivals. We will work closely with allies (like Netherlands, Japan who control key chipmaking tech) to synchronize these controls, so China cannot simply turn elsewhere for critical components. Additionally, an **outbound investment review** mechanism should be enacted (through legislation or executive action) to discourage U.S. firms from investing in Chinese AI companies that could enhance China's capabilities. The goal is to strategically deny China the means to surge ahead in AI, buying time for our incentive-fueled innovation to keep us on top. These defensive measures complement our positive incentives: we are **raising our own game at home while smartly limiting China's access to the most advanced AI resources**.

We'll also deploy *"AI diplomacy"* – using America's AI prowess as a tool for international influence. For instance, we can offer AI capacity-building to developing countries (in Africa, Latin America, Southeast Asia) so they opt to partner with U.S. firms and platforms rather than Chinese ones. Providing AI tools for agriculture or healthcare to these nations (with appropriate training and support) not only aids their development but also creates goodwill and standardizes our technologies globally. This counters China's outreach via its Digital Silk Road initiative, undercutting its attempt to embed Chinese AI standards abroad. Internationally, we will champion an open, interoperable AI ecosystem as opposed to China's more closed, monitored approach, making U.S. AI the attractive choice.

Finally, on the military front, we acknowledge the risks of an AI arms race. The U.S. will pursue dialogues with China (and Russia) on **responsible military use of AI**, aiming to reduce chances of accidental conflict – much as past arms control talks managed nuclear competition. We will seek confidence-building measures (like notification of certain AI weapons tests, agreements on banning autonomous nuclear launch decisions, etc.). However, we will do so from a position of strength: *we intend to win the race by being the first to develop safe and superior AI*, then negotiate norms. This strategy mirrors historical precedent (e.g., the U.S. developed superior encryption but later engaged in global cyber norms discussions). By leading in AI, America will have the credibility and clout to shape global rules in line with democratic values. In essence, we combine strength with responsibility – outpacing competitors while working with allies to ensure AI advances human freedom and security worldwide, not authoritarian control.

Conclusion: The United States stands at an inflection point akin to the dawn of the space race – but this time in Artificial Intelligence. This comprehensive Action Plan marries aggressive incentives with strategic oversight to unleash an *American AI Renaissance*. By igniting innovation through tax breaks, funding, and prizes, aligning business incentives with national security, and uniting our private sector prowess with smart public policy, we will **out-innovate and out-compete China** in the critical years ahead. This plan is **ambitious, urgent, and unapologetically focused on U.S. dominance** – qualities that will draw the attention and support of visionary tech leaders and policymakers across the spectrum. The stakes are nothing less than the future of global technological leadership and the values that will guide it. With the execution of this plan, the United States will not only counter China's AI challenge; it will secure the tools to **shape the 21st-century world order** in freedom's favor. America led the world into the internet age – now it will lead the world into the AI age, armed with the confidence, creativity, and competitive fire that have long defined its greatest triumphs. Together – government and business, researchers and entrepreneurs – we will ensure that the **next great breakthroughs in AI bear the hallmark: Made in America.**